

IFA ILLUSTRATION

Sample Illustration Assumptions and Mechanics

The financial illustration provided below relies on a specific set of actuarial, financial, and tax assumptions. For the mathematical tax-shelter analysis to apply as described in this memorandum, the arrangement must be executed precisely as illustrated below.

Client and Policy Parameters

- **Insured:** Male, standard non-smoker, age 59 at issue (attaining age 60 in policy Year 1).
- **Face Value:** \$1,308,000 + annual Paid Up Additions
- **Ownership:** Canadian-Controlled Private Corporation (CCPC).
- **Dividend Scale:** Assumes the current dividend scale minus 1% (5.35%)
- **Funding Schedule:** Annual deposits of \$100,000 payable for 10 years (Years 1 to 10), after which no further out-of-pocket premiums are required.

Financing and Investment Structure

- **Loan Advance Schedule:** The annual loan exactly matches the premium deposit (\$100,000 per year) for Years 1 - 10, resulting in a \$0 net cash outlay for the insurance.
- **Loan Interest Rate:** An interest rate of 5.00% applied to the outstanding loan balance.
- **Use of Funds:** It is assumed that 100% of the borrowed funds are immediately deployed into a qualifying, income-producing investment (Variable A) to satisfy the statutory requirements for interest deductibility.

Tax and Deductibility Assumptions

- **Corporate Tax Rate:** 50.17%, reflecting the typical marginal tax rate on passive aggregate investment income for a CCPC.
- **Interest Deductibility:** Assumes the 5.00% annual interest charge is 100% tax-deductible under **paragraph 20(1)(c)** of the *Income Tax Act*, based on the represented investment of the loan proceeds.
- **Collateral Insurance Deduction:** Assumes a deduction under **paragraph 20(1)(e.2)** for the cost of the life insurance policy assigned as collateral for the loan. As required by the Act, this deduction (shown as "Tax Deductible Premium") is calculated as the lesser of the premiums payable and the Net Cost of Pure Insurance (NCPI), prorated by the ratio of the outstanding loan to the total death benefit.

Characteristics of an Immediate Financed Arrangement (IFA) Life Insurance Plan

Income Tax Rate: 50.17%

Loan Interest Rate: 5.00%

Deposits as Scheduled

Dividend Scale Rate 5.35% (For Information Purposes Only)

Policy Information					Loan Details			Annual Deductions				Benefits
		#1	#2	#3	#4	#5	#6	#8	#9	#10	#11	#12
		Deposit	Cash Value	Death Benefit	Annual Loan Amount	Cumulative Loan Amount	Loan Security Collateral (#5 - #2)	Tax Deductible Interest	Tax Deductible Premium	Total Annual Tax Deductions (#8 + #9)	Total Annual Tax Savings (#10xTx%)	Net Death Benefit (#3 - #5)
1	60	\$100,000	\$61,091	\$1,446,039	\$100,000	\$100,000	\$38,909	\$5,000	\$175	\$5,175	\$2,596	1,346,039
2	61	100,000	127,089	1,586,368	100,000	200,000	72,911	10,000	486	10,486	5,261	1,386,368
3	62	100,000	197,740	1,728,112	100,000	300,000	102,260	15,000	896	15,896	7,975	1,428,112
4	63	100,000	272,084	1,868,904	100,000	400,000	127,916	20,000	1,417	21,417	10,745	1,468,904
5	64	100,000	349,913	2,008,261	100,000	500,000	150,087	25,000	2,060	27,060	13,576	1,508,261
6	65	100,000	447,235	2,146,651	100,000	600,000	152,765	30,000	2,845	32,845	16,478	1,546,651
7	66	100,000	554,921	2,284,685	100,000	700,000	145,079	35,000	3,790	38,790	19,461	1,584,685
8	67	100,000	673,270	2,422,740	100,000	800,000	126,730	40,000	4,915	44,915	22,534	1,622,740
9	68	100,000	802,556	2,561,174	100,000	900,000	97,444	45,000	6,243	51,243	25,709	1,661,174
10	69	100,000	943,038	2,700,334	100,000	1,000,000	56,962	50,000	7,789	57,789	28,993	1,700,334
11	70	0	995,100	2,666,002	0	1,000,000	4,900	50,000	8,874	58,874	29,537	1,666,002
12	71	0	1,054,681	2,634,855	0	1,000,000	0	50,000	10,053	60,053	30,128	1,634,855
13	72	0	1,121,971	2,606,979	0	1,000,000	0	50,000	11,348	61,348	30,778	1,606,979
14	73	0	1,197,165	2,582,453	0	1,000,000	0	50,000	12,739	62,739	31,476	1,582,453
15	74	0	1,280,453	2,561,357	0	1,000,000	0	50,000	14,229	64,229	32,224	1,561,357
16	75	0	1,323,698	2,543,051	0	1,000,000	0	50,000	15,829	65,829	33,027	1,543,051
17	76	0	1,368,098	2,526,713	0	1,000,000	0	50,000	16,133	66,133	33,179	1,526,713
18	77	0	1,414,037	2,512,257	0	1,000,000	0	50,000	16,226	66,226	33,225	1,512,257
19	78	0	1,461,654	2,499,626	0	1,000,000	0	50,000	16,308	66,308	33,266	1,499,626
20	79	0	1,511,107	2,488,774	0	1,000,000	0	50,000	16,379	66,379	33,302	1,488,774
21	80	0	1,562,582	2,479,661	0	1,000,000	0	50,000	16,439	66,439	33,332	1,479,661
22	81	0	1,616,301	2,472,255	0	1,000,000	0	50,000	16,488	66,488	33,357	1,472,255
23	82	0	1,672,174	2,466,528	0	1,000,000	0	50,000	16,526	66,526	33,376	1,466,528
24	83	0	1,729,676	2,462,467	0	1,000,000	0	50,000	16,554	66,554	33,390	1,462,467
25	84	0	1,788,435	2,460,038	0	1,000,000	0	50,000	16,570	66,570	33,398	1,460,038
26	85	0	1,848,331	2,459,189	0	1,000,000	0	50,000	16,576	66,576	33,401	1,459,189
27	86	0	1,909,255	2,459,866	0	1,000,000	0	50,000	16,571	66,571	33,399	1,459,866
28	87	0	1,971,085	2,462,024	0	1,000,000	0	50,000	16,557	66,557	33,391	1,462,024
29	88	0	2,033,645	2,465,619	0	1,000,000	0	50,000	16,532	66,532	33,379	1,465,619
30	89	0	2,096,731	2,470,612	0	1,000,000	0	50,000	16,499	66,499	33,363	1,470,612
31	90	0	2,159,535	2,476,217	0	1,000,000	0	50,000	16,462	66,462	33,344	1,476,217
32	91	0	2,229,555	2,530,229	0	1,000,000	0	50,000	0	50,000	25,085	1,530,229
33	92	0	2,298,778	2,584,179	0	1,000,000	0	50,000	0	50,000	25,085	1,584,179
34	93	0	2,368,072	2,638,095	0	1,000,000	0	50,000	0	50,000	25,085	1,638,095
35	94	0	2,438,237	2,691,999	0	1,000,000	0	50,000	0	50,000	25,085	1,691,999
36	95	0	2,509,972	2,745,912	0	1,000,000	0	50,000	0	50,000	25,085	1,745,912
37	96	0	2,584,750	2,799,844	0	1,000,000	0	50,000	0	50,000	25,085	1,799,844
38	97	0	2,665,320	2,853,789	0	1,000,000	0	50,000	0	50,000	25,085	1,853,789
39	98	0	2,756,593	2,907,715	0	1,000,000	0	50,000	0	50,000	25,085	1,907,715
40	99	0	2,867,532	2,961,547	0	1,000,000	0	50,000	0	50,000	25,085	1,961,547
41	100	0	3,015,145	3,015,145	0	1,000,000	0	50,000	0	50,000	25,085	2,015,145

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